

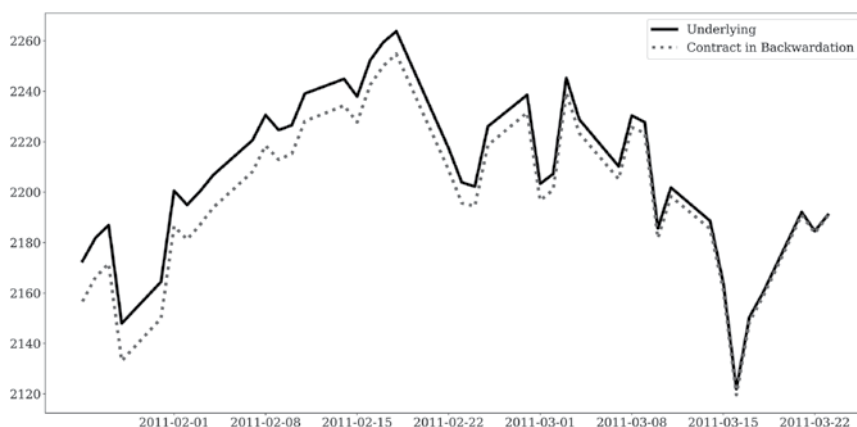


FIGURE 8.4 Contract in backwardation.

You see the inverse situation in Figure 8.4, where the futures contract starts out below the underlying, trading at a discount. For each day, we slowly, slowly approach the underlying until finally aligning with it at the end of the contract's life. It's important to understand that the contango and backwardation effects do not guarantee that the price will move up or down, merely from which direction it will approach the underlying. In that way, this effect acts as a tailwind or headwind, adding a bullish or bearish factor to the equation. We are still very much dependent on the direction of the underlying asset, but this term structure effect gives us a boost in either direction.

Now if you understand the general idea, you are probably already thinking about how to quantify this effect.

■ Measuring Term Structure

While there are different ways to quantify the term structure, I will demonstrate a methodology which I believe makes intuitive sense. This involves calculating an implied annual yield, or cost of carry, if you will. It needs to be annualised, so that the resulting number can be compared across different delivery dates. As always in finance, time matters. If a contract three months out is traded at a 2% discount, that is more significant than if a contract 12 months out is traded at the same 2% discount, similar to how it's preferable to make a hundred dollars today than in a year from now.